23STCV05625 23STCV05625

County: los-angeles

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Plaintiff alleges that Defendants committed legal malpractice in representing Plaintiff in her dissolution matter, resulting in Plaintiff suffering $3,000,000.00 in economic damages.

The Court granted Defendants Lindsey Benson Green and Gumm & Green, LLP’s motion to compel arbitration and stay this action. The Court denied Plaintiff’s motion for reconsideration.

Defendant Lindsey Benson Green moves for sanctions against Plaintiff Stacey Shorr-Litberg pursuant to Code Civ. Proc. §§ 128.5 and 128.7 (and § 1008(d).)

Plaintiff Stacey Shorr Litberg moves for an order to lift stay of proceedings based on inability to pay arbitration fees.

TENTATIVE RULING

Defendant Lindsey Benson Green’s motion for sanctions against Plaintiff Stacey Shorr-Litberg is DENIED.

As for Plaintiff Stacey Shorr Litberg’s motion for an order to lift stay of proceedings based on inability to pay arbitration fees, at oral argument, the parties may address the issues identified by the Court—most importantly, the anticipated total costs and fees of arbitration. The Court will take the matter under submission to decide whether it is appropriate to require Defendant either to pay Plaintiff’s share of the arbitrator’s fee or to waive the right to arbitration.

ANALYSIS

Discussion

Defendant Lindsey Benson Green moves for sanctions against Plaintiff Stacey Shorr-Litberg pursuant to Code Civ. Proc. §§ 128.5 and 128.7. The basis for this motion is that Plaintiff propounded and served on Defendant Form Interrogatories – General Set 1 in violation of the stay of the litigation.

First, Defendant has not demonstrated that a copy of the proposed § 128.7 motion was served upon Plaintiff 21-days prior to the May 29, 2026 hearing date with the May 29, 2026 hearing date included on the proposed motion served upon Plaintiff. (J.N. v. Goldberg (2026) 120 Cal. App. 5th 544, 549-50.)

Moreover, both Code Civ. Proc. §§ 128.5 and 128.7 expressly do not apply to discovery requests: " This section shall not apply to disclosures and discovery requests, responses, objections, and motions." (Code Civ. Proc. § 128.5(e).) "This section shall not apply to disclosures and discovery requests, responses, objections, and motions." (Code Civ. Proc. § 128.7(g).)

While Defendant mentions Code Civ. Proc. § 1008(d) at Page 2:4 of the memorandum of points and authorities, § 1008(d) is not cited in the notice of motion. Nor does § 1008(d) form a basis for imposing sanctions due to service of discovery requests during a stay pending arbitration, as service of discovery requests does not constitute a motion for reconsideration. As such, the Court will not impose sanctions pursuant to § 1008(d).

Defendant also mentions Code Civ. Proc. § 177.5 at Page 3:12 of the memorandum of points and authorities. Against, § 177.5 is not cited in the notice of motion. As such, the Court will not impose sanctions pursuant to § 177.5.

A judicial officer shall have the power to impose reasonable money sanctions, not to exceed fifteen hundred dollars ($1,500), notwithstanding any other provision of law, payable to the court, for any violation of a lawful court order by a person, done without good cause or substantial justification.

This power shall not apply to advocacy of counsel before the court. For the purposes of this section, the term "person" includes a witness, a party, a party's attorney, or both.

Sanctions pursuant to this section shall not be imposed except on notice contained in a party's moving or responding papers; or on the court's own motion, after notice and opportunity to be heard. An order imposing sanctions shall be in writing and shall recite in detail the conduct or circumstances justifying the order.

(Code Civ Proc § 177.5 [bold emphasis added].)

The motion for sanctions is DENIED.

Motion To Lift Stay of Proceedings

Plaintiff Stacey Shorr Litberg moves for an order to lift stay of proceedings based on inability to pay arbitration fees.

Plaintiff requests the following relief:
1. A finding that Plaintiff is financially unable to pay the arbitration fees and costs required by JAMS, as demonstrated by the court-granted fee waiver and JAMS's does not qualify as a "consumer" for fee-waiver purposes; 2. An order lifting the stay of proceedings so this case may proceed in this Court; 3. If Defendants elect to pay Plaintiff's full share of arbitration fees and proceed in JAMS she arbitration, an order requiring Defendants Lindsey Green and Gumm & Green to pay the full cost of a certified shorthand reporter for all arbitration proceedings, hearings, and depositions.

Plaintiff argues that JAMS fees are $11,000 per day for Plaintiff's 50% share, plus additional charges for motions, discovery, witnesses, and court reporters. These costs are far beyond Plaintiff's financial ability. Plaintiff is proceeding in pro per on a fee waiver and with multiple disabilities.

Plaintiff argues that the selected arbitrator, Hon. Luis A. Cardenas (Ret.), charges a daily rate of $11,000. A retainer of $5,500 is due. Plaintiff would be required to pay 50 percent of all arbitrator fees plus additional charges for motions, discovery, witnesses, and court reporters. These costs are far beyond Plaintiff's present financial ability.

Plaintiff will bring her tax records
for the last three years, IRS transcript, her and her son Warren's Social Security statements for the Court to view at this hearing. Plaintiff can also submit bank records, IRA, and any other documents the Court may request. Plaintiff is prepared to submit these materials for in-camera review and requests that any such documents be kept confidential and sealed pursuant to California Rules of Court, rule 2.551, and Government Code § 68633(f), and not disclosed to Defendants. The Government Code fee-waiver procedures (Gov. Code §§ 68632-68633), which Aronow describes as a ready template, begin with a declaration under penalty of perjury; supporting documents are not required at the initial stage. EXHIBIT 2/3 In-Camera Review: Tax Records. Social Security Stmts for Stacey & Warren Plaintiff's income is Social Security Disability Insurance. She also receives and manages benefits for her adult son, Warren, who has cerebral palsy, intellectual and developmental disabilities, vision impairment, and other related psychiatric conditions requiring lifetime care. Every dollar of her son's benefits used for household expenses is a loan that Plaintiff is obligated to repay. Plaintiff is proceeding in pro per on a court-granted fee waiver and has a pending Request for Accommodation under California Rules of Court, rule 1.100, documenting multiple disabilities, which she will re submit with the additional required information.

Defendant argues that Plaintiff has
a lifestyle that costs her approximately $7,400 a month and has been able to pay to have attorneys represent her at court appearances in her dissolution matter. According to the plaintiffs income and expense declaration in her family law case filed in 2025, she has actual necessary monthly living expenses of $7,427 and has the ability to make said payments. Furthe from her same income and expense declaration, as of June of 2025, she had $31,000 in liquid funds. Plaintiff owns a mobile home in Agoura Hills, CA where she put $400,000 down on the mobile home that is now worth about $700,000 (with $470,000 o equity) with a mortgage payment that Plaintiff pays just over $2000 a month in mortgage cost, $400 a month in real property taxes, and fire insurance at $135 a month.

In her Reply
Declaration filed on August 13, 2026, Plaintiff submits a detailed response to Defendant's opposition arguments, which the Court will not recite here.

"The court in Roldan explained: 'If, as plaintiffs contend, they lack the means to share the cost of the arbitration, to rule otherwise might effectively deprive them of access to any forum for resolution of their claims against [the defendants]. We will not do that. Of course, as the trial court recognized, we cannot order the arbitration forum to waive its fees, as a court would do in the case of an indigent litigant. Nor do we have authority to order [the defendant law firm] to pay plaintiffs' share of those fees. What we can do, however, is give [the defendant law firm] a choice: if the trial court determines that any of these plaintiffs is unable to share in the cost of arbitration, [the firm] can elect to either pay that plaintiff's share of the arbitration cost and remain in arbitration or waive its right to arbitrate that plaintiff's claim.' (Citation omitted.)

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. . . "[T]hese cases demonstrate that the policy of affording indigent litigants meaningful access to the judicial process establishes restrictions not only upon potential barriers created by legislatively imposed fees or procedures, but also upon court-devised policies or practices that have the effect of [*880] denying to qualified indigent litigants the equal access to justice that the in forma pauperis doctrine was designed to provide. (Citations omitted.) The court then emphasized the significance of Roldan and Solorzano: "The decisions in Solorzano and Roldan reveal a fundamental aspect of the California in forma pauperis doctrine that is directly relevant to the issue presented here. As these decisions demonstrate, under California law when a litigant in a judicial proceeding has qualified for in forma pauperis status, a court [may not consign the indigent litigant to a costly private alternative procedure that the litigant cannot afford and that effectively negates the purpose and benefit of in forma pauperis status. In other words, whatever a court's authority may be in general to outsource to privately compensated individuals or entities part or all of the court's judicial duties with respect to litigants who can pay for such private services, a court may not engage in such outsourcing in the case of in forma pauperis litigants when the practical effect is to deprive such litigants of the equal access to justice that in forma pauperis status was intended to afford." (Jameson, supra, 5 Cal.5th at p. 622.)

With the benefit of the Supreme Court's approval of Roldan's rationale and result, we find it to be the better reasoned opinion and will follow its approach.

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As we observed, in forma pauperis status is not a prerequisite; however, the procedures for that determination provide a ready template should the trial court decide to employ it. (Gov. Code, § 68630 et seq.) In enacting the remedy for indigent litigants, the Legislature found "[t]hat our legal system cannot provide 'equal justice under law' unless all persons have access to the courts without regard to their economic means. California law and court procedures should ensure that court fees are not a barrier to court access for those with insufficient economic means to pay those fees." (Gov. Code, § 68630, subd. (a).) In response to a petition to compel arbitration, a litigant who claims financial inability to pay the arbitrator's fee could submit the Judicial Council application form and the financial statement prescribed by Government Code section 68633, subdivision (c)(1) and (2). "The court may delegate to the clerk the authority to grant applications for an initial fee waiver that meet the standards of eligibility and application requirements set forth in Sections 68632 and 68633." (Gov. Code, § 68634, subd. (d).) Where a party seeking relief from paying the arbitrator's fee is one of the persons enumerated in Government Code section 68632's list of persons eligible "to proceed without paying court fees and costs," the decision would be ministerial. Where the clerk is unable to grant the request, at the section 1281.2 hearing the judge can follow the fee waiver procedure and make the determination just as judges do where the clerk does not grant a fee waiver request. (Gov. Code, § 68634.5, subd. (e).) This approach minimizes the judge's role, avoids the trial court's concern about "extensive, burdensome, and potentially unmanageable litigation," and responds to its request for guidance. It will allow the trial court to decide a litigant's ability to pay arbitration costs and achieve the Legislature's stated goal of assuring "'equal justice under law'" (Gov. Code, § 68630, subd. (a)) for indigent litigants subject to an arbitration provision.

At oral argument, Emergent claimed the right to challenge in forma pauperis status and asserted the need to conduct discovery to pursue that objection. We recognize that interest and conclude, where appropriate, it can be accommodated by the trial court. Where a party to a contract with an arbitration provision opposes a motion to compel arbitration on the ground of inability to pay the costs, the moving party can ask leave to conduct limited discovery directed only to the opponent's financial circumstances. We do not share Emergent's concern that such limited discovery would waive its right to [*885] arbitrate. While taking advantage of judicial discovery procedures not available in arbitration is one of several factors for assessing whether a party has waived its right to arbitrate (citation omitted), the discovery at issue in the cases finding waiver bears no resemblance to the discovery Emergent desires here. (Citations omitted.) . . .

At oral argument, both counsel argued that our tentative decision could be read to constrain the trial court's discretion. We now make clear that the court's earlier declaration of in forma pauperis is not dispositive, and Emergent may conduct the limited discovery into finances the trial court allows without fear of waiver of arbitration. Addressing Aronow's concern, we hold that the trial court has discretion to decide Aronow's ability to pay arbitration fees and can do so upon declarations with supporting exhibits or after conducting an evidentiary hearing.

Conclusion

Supported by a wealth of jurisprudence, we conclude the trial court has jurisdiction to address Aronow's request and, if he demonstrates financial inability to pay the anticipated arbitration costs, to require Emergent either to pay Aronow's share of the arbitrator's fee or to waive the right to arbitration.

(Aronow v. Superior Court (2022) 76 Cal.App.5th 865, 879-85 [bold emphasis and underlining added].)

In light of the foregoing, the Court sees the following points as most pertinent to its analysis:

(1) Plaintiff was granted a fee waiver in this case. This weighs heavily in favor of Plaintiff's position.

(2) The parties must give an estimate of how many days they anticipate the arbitration to last, and how many hours the

arbitrator will spend on issuing the award. If this would result in Plaintiff quickly exhausting her liquid assets by paying 50% of these costs, this would heavily weigh in favor of Plaintiff.

(3) To the extent Plaintiff had assets that she put into real property, or has cash which is used to pay monthly obligations and necessary expenses, these are not persuasive as to Plaintiff's present ability to pay arbitration costs and fee. The Court is interested in Plaintiff's liquid assets, and if those assets would be drained before arbitration is completed, this weighs in favor of Plaintiff. The Court is not inclined to require Plaintiff to attempt to obtain a loan to finance arbitration, unless Plaintiff's share would not be that great.

The parties may address the foregoing at oral argument—most importantly, the anticipated total costs and fees of arbitration—and the Court will take the matter under submission to decide whether it is appropriate to require Defendant either to pay Plaintiff's share of the arbitrator's fee or to waive the right to arbitration.